

SENATE BILL 2079

By Watson

AN ACT to amend Tennessee Code Annotated, Title 49, Chapter 14; Title 49, Chapter 7; Title 49, Chapter 8 and Title 49, Chapter 9, relative to higher education.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-7-204(a)(1)(B), is amended by designating the subdivision as subdivision (a)(1)(B)(i) and adding the following as a new subdivision:

(ii) Beginning on the effective date of this act:

(a) The governor shall appoint three (3) voting members;

(b) The speaker of the senate shall appoint three (3) voting members, one (1) of whom must be appointed as the successor to the voting member appointed from the middle grand division by the governor pursuant to subdivision (a)(1)(B)(i), whose term expires on June 30, 2030, and one (1) of whom must be appointed as the successor to the voting member appointed from the west grand division by the speaker of the senate and speaker of house of representatives pursuant to subdivision (a)(1)(B)(i), whose term expires on June 30, 2026; and

(c) The speaker of the house of representatives shall appoint three (3) voting members, one (1) of whom must be appointed as the successor to the voting member appointed from the middle grand division by the governor pursuant to subdivision (a)(1)(B)(i), whose term expires on June 30, 2026, and one (1) of whom must be appointed as the successor to the voting member appointed from the east grand division by the governor pursuant to subdivision (a)(1)(B)(i), whose term expires on June 30, 2031.

SECTION 2. Tennessee Code Annotated, Section 49-7-204(b)(1), is amended by deleting "subdivision (a)(2)(B)" and substituting "subdivision (a)(2)(B) or (a)(1)(B)(ii)".

SECTION 3. Tennessee Code Annotated, Section 49-7-202(f), is amended by adding the following as a new subdivision:

(4) As used in this section, and for purposes of the state higher education policy and the outcomes-based funding formula, "on-time graduation" means that a student completed the student's first associate degree or first bachelor's degree in a standard program of study within or in:

(A) Four (4) academic years for students enrolled in a public university governed by the board of trustees of the University of Tennessee or a state university board; or

(B) Three (3) academic years for students enrolled in a community college governed by the Tennessee board of regents.

(5) The commission shall establish a means of using inputs into the outcomes-based funding formula model to establish target on-time graduation rates for each state institution of higher education and publish the target rates at least once every five (5) years.

SECTION 4. Tennessee Code Annotated, Section 49-7-202(n)(2)(B), is amended by deleting the subdivision and substituting:

(B) Notwithstanding subdivision (n)(2)(A), the commission may approve separate maximum allowable tuition and fee increases for one (1) or more public institutions of higher education that differ from the tuition and fee policy approved pursuant to subdivision (n)(2)(A) if the commission determines that:

(i) A separate tuition and fee policy for an institution is necessary based on the circumstances or needs of the respective institution; and

(ii) The institution has demonstrated positive growth in the institution's on-time graduation rate calculated on a three-year rolling average.

SECTION 5. Tennessee Code Annotated, Title 49, Chapter 7, Part 1, is amended by adding the following as a new section:

Notwithstanding §§ 49-7-202(n) and 49-9-209(d)(1)(F), a public institution of higher education shall not charge students tuition and fees for an online undergraduate course that, in total, exceeds the total tuition and fees charged to students for a comparable undergraduate course offered in person at the institution by seventy-five percent (75%) or more if the institution does not offer an in-person course option that satisfies the same course credit as the online course.

SECTION 6. Tennessee Code Annotated, Title 49, Chapter 7, Part 1, is amended by adding the following as a new section:

(a) The board of trustees for the University of Tennessee, the board of regents, and each state university board shall adopt and implement a policy regarding the use of revenues generated by the out-of-state undergraduate tuition and fees charged by the institutions governed by the respective board.

(b) The policy must:

(1) Describe the board's utilization plan for revenues derived from the out-of-state undergraduate tuition and fees charged by the institutions it governs and how those revenues may be used to mitigate the tuition and fee costs for in-state undergraduate students; and

(2) Be implemented no later than July 1, 2026.

SECTION 7. Sections 1 and 2 of this act take effect upon becoming a law, the public welfare requiring it. All other sections of this act take effect July 1, 2026, the public welfare requiring it, and apply to the 2026-2027 academic year and each academic year thereafter.